

INSTITUTE OF ACTUARIES OF INDIA
EXAMINATIONS

May 2026

CB3 - Business Management

Time allowed: 1 Hours 30 Minutes

Total Marks: 100

Q.1) Which of the following best describes the purpose of sensitivity analysis in business decision-making?

- A. To replace judgement entirely with mathematics
- B. To test how results change when key assumptions vary
- C. To eliminate uncertainty from a decision
- D. To prove that the chosen strategy is always optimal
- E. To ensure a project earns accounting profit in year 1

[2 marks]

Q.2) What does the doctrine of privity mean under contract law?

- A. A contract binds any person who benefits indirectly from it
- B. A third party may always sue if consideration exists
- C. A contract becomes invalid if signed through an agent
- D. Every contract must remain confidential between the parties
- E. Only parties to the contract can generally enforce obligations under it

[2 marks]

Q.3) Which of the following is most consistent with professional conduct standards for actuaries?

- A. Accepting a large success-based fee without disclosure if technically correct work is delivered
- B. Ignoring a possible conflict if the client has not asked about it
- C. Exercising caution where remuneration may threaten objectivity
- D. Publishing unsubstantiated claims if they improve business prospects
- E. Disclosing confidential information if it saves time internally

[2 marks]

Q.4) A packaged food brand is best known for a “2-minute” promise and is commonly used as a quick snack/meal when time is tight. Which underlying customer need is this product most directly satisfying?

- A. Convenient, quick hunger-satiation with minimal time/effort
- B. Emotional comfort and nostalgia through a familiar, comforting taste
- C. Affordable, filling option delivering value-for-money for everyday consumption
- D. Improving micronutrient intake through fortification
- E. Providing cooking guidance/meal ideas to help households plan a wider variety of dishes

[2 marks]

Q.5) A customer value-focused strategy in financial services is most concerned with

- A. Anticipating, understanding and responding to customer needs effectively
- B. Expanding product count without understanding customer needs
- C. Maximising internal functional efficiency regardless of customer outcomes
- D. Protecting legacy channels from all forms of change

E. Designing measures of success only around internal processing speed

[2 marks]

Q.6) Which of the following is a sunk cost?

- A. A future marketing expense that can still be avoided
- B. A cost already incurred that cannot be recovered
- C. An opportunity cost of using capital elsewhere
- D. A variable cost that rises with sales volume
- E. A contingent liability not yet crystallised

[2 marks]

Q.7) Under company law, which statement is most accurate?

- A. Company assets belong proportionately to shareholders and can be claimed by them at will
- B. A company has no legal identity separate from its directors
- C. Directors are never personally liable in any circumstances
- D. A company is a separate legal person distinct from its members
- E. Shareholders manage day-to-day affairs by default

[2 marks]

Q.8) If a conflict of interest exists, the actuary should:

- A. Continue silently if the work remains technically sound
- B. Ignore the issue unless a regulator asks
- C. Accept the conflict if the fee is sufficiently high
- D. Delegate the assignment immediately without disclosure
- E. Notify the client at the earliest opportunity and consider its nature and extent

[2 marks]

Q.9) Which of the following best explains why a trust is legally distinct from an ordinary contract?

- A. Because beneficiaries must provide consideration before acquiring rights under a trust
- B. Because trust obligations attach to identified property and may be enforceable by beneficiaries who are not parties to any contract
- C. Because a trust can exist only where legal and beneficial ownership remain in the same person
- D. Because a trustee owes duties only to the settlor and not to beneficiaries
- E. Because every trust is revocable unless supported by consideration

[2 marks]

Q.10) Why can functional excellence alone fail to create sustainable value in financial services?

- A. Because customers never care about service quality
- B. Because functional strengths are irrelevant in regulated industries

- C. Because they may be imitable and may not directly address customer value
- D. Because scale is always the only source of value
- E. Because strategy is unrelated to customer outcomes

2 marks

Q.11) A motor insurer notices rising claims costs for electric vehicles due to expensive repairs and longer repair times. What is the most appropriate response?

- A. Increase all premiums uniformly across the whole portfolio
- B. Stop writing all EV business immediately
- C. Review rating factors, claims assumptions and repair network arrangements for EV risks
- D. Ignore the trend until regulators intervene
- E. Reduce claims reserves to preserve profitability

[2 marks]

Q.12) A director enters into a contract on behalf of the company without actual or apparent authority. Which outcome is most likely?

- A. The company is always bound regardless of authority
- B. The director may incur personal liability for breach of warranty of authority
- C. The shareholder who disagrees becomes liable instead
- D. The contract automatically becomes a trust
- E. The issue is purely internal and has no external consequences

[2 marks]

Q.13) An actuary discovers that confidential pricing files were inadvertently sent to an external party. What is the best immediate professional response?

- A. Escalate promptly, contain the issue, and follow confidentiality and governance procedure
- B. Wait to see if the external party notices
- C. Delete local copies and take no further action
- D. Publicly disclose all related files for transparency
- E. Continue using the same process because no damage is yet proven

[2 marks]

Q.14) A financial services firm finds that customers increasingly use multiple providers and are more price-sensitive. Which response is most appropriate?

- A. Assume loyalty will return without any change
- B. Rely only on cross-selling proprietary products
- C. Reassess relationship strategy, delivery channels and product design around customer need
- D. Withdraw digital services to reduce comparison shopping
- E. Stop collecting any customer insight data

[2 marks]

Q.15) An insurer with a strong agency model launches a direct digital sales channel. Which strategic risk is most important to consider?

- A. The company will automatically double profits
- B. Regulation does not apply to online channels
- C. Digital distribution removes the need for service system
- D. The new channel can create conflict with the existing distribution model if poorly designed
- E. Customer behaviour is unchanged by channel choice

[2 marks]

Q.16) Case Study 1: EV Insurance Proposition and Channel Strategy [25]

A general insurer is considering launching a new insurance proposition for electric vehicles (EVs). Management is assessing three possible distribution models:

- a) integration into a major online automobile marketplace at the point of vehicle purchase,
- b) distribution through the insurer's existing agency network, or
- c) a hybrid model combining both channels.

The proposition may include own-damage cover, roadside assistance, battery-related cover extensions, and access to a preferred repair network. The insurer currently distributes it mainly through agents. EV sales are growing rapidly, but management is concerned that EV claims costs may be volatile because repair techniques are still developing, specialized parts may be expensive and slow to obtain, and claim frequencies and severities may not yet be stable. There is also uncertainty over how far customers will understand the cover, how distributor incentives may influence customer outcomes, and whether a new channel strategy would strengthen or weaken the insurer's long-term competitive position. The Board has made clear that rapid growth alone will not justify the launch unless management can show that the proposition creates sustainable customer value, is operationally robust, and can be governed appropriately.

i) Business Decision Making

Identify and explain three key analyses management should perform before deciding whether to launch, pilot, redesign, or reject the proposition. For each analysis, explain what findings would strengthen the case for launch and what findings would materially weaken it. **[6]**

ii) Legal Principles

Discuss the most important legal and contractual issues the insurer should address in its arrangements with:

- the online automobile marketplace; and
- the preferred repair network.

In answer, consider matters such as authority, allocation of responsibilities, customer disclosures, liability for failures or misrepresentation, and service-performance obligations. **[4]**

iii) Financial Service Industry

Identify and explain three distinct customer needs relevant to EV owners. For each need, explain:

- how the proposed product or service model could meet that need; and

- one way in which poor product, pricing, servicing, or distribution design could fail to create value for the customer. [6]

iv) Professionalism and Ethics

An actuary involved in the design and pricing of the proposition is aware that internal EV experience is limited, some assumptions are highly judgemental, and management strongly favours rapid launch because of expected growth. Identify and discuss two professionalism and/or customer fairness concerns that arise in this situation, and explain how the actuary should respond. [4]

v) Strategic Thinking

Evaluate whether the insurer should adopt an agents-only, platform-only, or hybrid distribution strategy for this proposition. In your answer, assess the trade-offs across customer reach, quality of explanation and disclosure, economics, operational control, channel conflict, and long-term strategic positioning. Recommend one strategy and explain why the other two are less suitable. [5]

[25 marks]

Q.17) Case Study 2: New Analytics Subsidiary and Governance Choices

A life insurer plans to create a separate analytics subsidiary to provide actuarial and data services to group companies. The Board believes the move will improve cost discipline and accountability. A director has proposed that the subsidiary should immediately enter into a long-term services agreement with a technology vendor in which that same director has a significant personal interest. Separately, management is considering setting up an employee welfare trust for selected specialist staff. The chief consulting actuary on the project has also been offered a success-linked fee if the structure is approved quickly. During the project, the actuary discovers weaknesses in source data and is concerned that timelines are driving decisions faster than evidence supports.

- Explain two sound business reasons for establishing the analytics subsidiary, and two key success measures management should track after launch. [4]
- Discuss the director authority / governance issues arising from the proposed vendor contract, including the treatment of personal interest and company decision-making. [6]
- Discuss the actuary's professional response to: the success-linked fee, the data weaknesses, and the pressure to proceed quickly. [6]
- Briefly evaluate whether creating a separate subsidiary is strategically preferable to keeping analytics inside the existing insurer. [2]
- Explain briefly how this initiative could affect the insurer's position in the wider financial services value chain. [2]

[20 marks]

Q.18) Case Study 3: Rebuilding Value Creation in a Mid-Sized Life Insurer

A mid-sized life insurer has seen weak growth, rising service costs and poor retention in its retail savings business. It has separate product teams, legacy branch operations, limited digital capability and success measures focused heavily on internal processing speed. Customers

increasingly compare products online, use multiple providers and expect simple, integrated propositions. Management is considering a three-year transformation involving a retirement-plus-health proposition, digital servicing, selective branch rationalisation and new partnerships. The Board wants a plan that improves value creation without undermining customer fairness or governance standards.

- i) Using a customer value-focused lens, diagnose four reasons why the insurer may currently be creating insufficient value. [8]
- ii) Recommend a three-year transformation plan covering products, channels, systems and measures of success. [7]
- iii) Discuss two governance / legal controls the Board should maintain while executing the transformation. [4]
- iv) Discuss two customer fairness / professionalism issues that may arise in redesigning the retirement-plus-health proposition and using more customer data. [4]
- v) Explain how changing customer needs and external market conditions should influence the final business model chosen by the insurer. [2]

[25 marks]
